

Apple Inc. (AAPL.US)

Technology · Consumer Electronics  
 Large Cap (>\$200B) · Report Date: June 27, 2026  
 Latest financials: Q3 FY2025 · Model data as of 2026-06-27

UNDERWEIGHT

Blended Target: \$170.27

DCF + Comps + Analyst (see cross-check table)

Implied upside: -40.0%

Price (Jun): \$283.78

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$170.27 (-40.0% vs \$283.78); Comps 100% (pre-cap \$168.84 -> \$170.27) valuation after outlier checks (audit-capped).
- Strong revenue growth; high operating margins; weak roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Apple Inc. (AAPL) — Technology. Apple Inc. designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories worldwide. The company offers iPhone, a... **UNDERWEIGHT** rating; blended target \$170.27. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

| Item          | Value               | Item         | Value    |
|---------------|---------------------|--------------|----------|
| Market Cap    | \$4.17T             | Shares Out.  | 14687.4M |
| 52-Week Range | \$199.26 – \$317.40 | P/E (TTM)    | 34.4x    |
| P/B           | 39.1x               | Beta         | 1.09     |
| Avg Volume    | 52.38M              | Analyst Rec. | Buy      |
| Revenue (TTM) | \$451.44B           | Rev Growth   | +16.6%   |
| Op. Margin    | 32.3%               | FCF (TTM)    | \$98.77B |



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

| Metric                  | FY 2024A | FY 2025A | FY 2026E | FY 2027E | FY 2028E |
|-------------------------|----------|----------|----------|----------|----------|
| Revenue (\$M)           | 391,035  | 416,161  | 485,244  | 545,268  | 596,573  |
| Revenue Growth (%)      | N/A      | 6.4%     | 16.6%    | 12.4%    | 9.4%     |
| Net Income (\$M)        | 93,736   | 112,010  | 130,604  | 146,759  | 160,568  |
| Net Income Growth (%)   | N/A      | 19.5%    | 16.6%    | 12.4%    | 9.4%     |
| Gross Margin (%)        | 46.2%    | 46.9%    | 47.9%    | 47.9%    | 47.9%    |
| Net Margin (%)          | 24.0%    | 26.9%    | 26.9%    | 26.9%    | 26.9%    |
| ROE (%)                 | 164.6%   | 151.9%   | 177.1%   | 180.5%   | 188.1%   |
| EPS (\$)                | 6.38     | 7.63     | 8.89     | 9.99     | 10.93    |
| Book Value / Share (\$) | 3.88     | 5.02     | 5.02     | 5.53     | 5.81     |
| P/E (x)                 | 44.47    | 37.21    | 31.91    | 28.40    | 25.96    |
| P/B (x)                 | 73.19    | 56.53    | 56.53    | 51.27    | 48.83    |
| Dividend Yield (%)      | 38.0%    | 38.0%    | 38.0%    | 38.0%    | 38.0%    |

VALUATION CROSS-CHECK

| Valuation Method                              | Implied Price | vs. Current | Weight in Target | Notes                                                       |
|-----------------------------------------------|---------------|-------------|------------------|-------------------------------------------------------------|
| DCF (Simon FCFE)                              | \$111.93      | -60.6%      | 0% (excluded)    | Diverges below other methods (46% of median)                |
| Profile template weights                      | —             | —           | —                | Standard operating company: DCF 32%, Comps 53%, Analyst 15% |
| Comps — P/E (peer median)                     | \$198.00      | -30.2%      | —                | Peer median P/E 24.0x                                       |
| Comps — EV/EBITDA (peer median)               | \$168.84      | -40.5%      | —                | Peer median 17.6x                                           |
| Comps — P/S (peer median)                     | \$163.39      | -42.4%      | —                | Peer median P/S 5.3x                                        |
| Comps — Blended (avg. of available multiples) | \$168.84      | -40.5%      | 100% (pre-cap)   | Included in pre-audit blend; final target audit-adjusted    |
| Analyst consensus (Yahoo Finance)             | \$315.09      | +11.0%      | 0% (excluded)    | Analyst consensus lags / diverges >35% from comps           |
| Blended target (weighted)                     | \$170.27      | -40.0%      | 100%             | Comps 100%; pre-cap \$168.84 -> \$170.27                    |
| Audit (≥30% vs price)                         | —             | —           | —                | Target capped at ±40% vs price (model dispersion)           |

DCF VALUATION SUMMARY (SIMON FCFE)

| Item                | Value     |
|---------------------|-----------|
| Ke (cost of equity) | 9.97%     |
| Terminal g          | 1.50%     |
| FCFE growth         | 8.30%     |
| Base FCFE           | \$98.77B  |
| PV explicit (5Y)    | \$494.71B |
| PV terminal         | \$1.15T   |
| Equity value (adj.) | \$1.64T   |
| Implied price       | \$111.93  |
| vs. current         | -60.6%    |

INDUSTRY ANALYSIS

1. Industry Overview

Apple Inc. designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories worldwide. The company offers iPhone, a line of smartphones; Mac, a line of personal computers; iPad, a line of multi-purpose tablets; and wearables, home, and accessories comprising AirPods, Apple Vision Pro, Apple TV, Apple Watch, Beats products, and HomePod, as well as Apple...

2. Key Trends

- Strong top-line growth (16.6% YoY)
- High operating leverage (32.3% margin)
- Sector: Technology | Industry: Consumer Electronics

3. Risk Factors

- Standard sector cyclicity and macro exposure

COMPETITOR ANALYSIS

| Ticker | Company                | Market Cap | P/E   | EV/EBITDA | Net Margin | Rev Growth |
|--------|------------------------|------------|-------|-----------|------------|------------|
| MSFT   | Microsoft Corporation  | \$2.77T    | 22.2x | 15.3x     | 39.3%      | +18.3%     |
| GOOGL  | Alphabet Inc.          | \$4.12T    | 25.7x | 25.1x     | 37.9%      | +21.8%     |
| HPQ    | HP Inc.                | \$20.92B   | 8.5x  | 6.0x      | 4.4%       | +9.0%      |
| DELL   | Dell Technologies Inc. | \$258.13B  | 31.9x | 19.9x     | 6.3%       | +87.5%     |
| AAPL*  | Apple Inc.             | \$4.17T    | 34.4x | 26.2x     | 27.2%      | +16.6%     |

\* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Strong revenue growth; high operating margins; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.